

The ₹8 lakh *you didn't spend.*

What money does when you leave it alone.

Most people buying a ₹10 lakh car never see this number, because the moment you pay cash the money is simply gone and there is nothing left to watch. So here is what that same ₹8,00,000 does if you leave it invested instead — over five years, and then over twenty. The car is just the excuse. The point is what compounding does to money you don't touch.

- 1 ₹8,00,000 left in a Nifty 50 index fund becomes **₹14,09,873** in five years. You did nothing. You watched.
- 2 Leave it twenty years instead of five and it becomes **₹77,17,034**. The extra fifteen years are worth nine times the first five.
- 3 In year one it grows ₹96,000. In year five it grows **₹1,51,058** — from the same money, because by then your returns are earning returns.
- 4 The same ₹8 lakh in a fixed deposit at today's 6.05% reaches only **₹10,73,108**. Where you put it matters as much as whether you invest at all.

START WITH

₹8,00,000

left invested, untouched

AFTER 5 YEARS

₹14,09,873

at 12% a year

AFTER 20 YEARS

₹77,17,034

same money, more time

YOU CONTRIBUTED

₹0

after the first day

The *one-minute* version

One decision, two futures for the same ₹8 lakh. Everything after this page is the working.

PAY CASH FOR THE CAR

₹0

The ₹8 lakh leaves your account on day one. There is nothing left to compound, and nothing to watch grow.

KEEP IT INVESTED

₹14,09,873

Same ₹8 lakh, five years later, in a Nifty 50 index fund. You still get the car — you just pay for it monthly instead.

1 The gap is the whole lesson

₹6,09,873 of growth, on money you never added to and never touched. That is not a clever trade or a stock tip. It is what happens automatically to any lump sum that is left alone in a diversified index fund for long enough. The hardest part of this strategy is having the money in the first place — and after that, not spending it.

2 Time does more work than returns

THE NUMBER THAT SHOULD CHANGE HOW YOU THINK

Five years turns ₹8 lakh into ₹14 lakh. Twenty years turns the same ₹8 lakh into ₹77 lakh.

Four times the waiting, but over **eleven times** the growth. This is why the single most valuable thing about any rupee you invest is how early you invest it — and why the money people spend in their twenties costs them so much more than they think.

3 What this guide covers

- **What ₹8 lakh actually becomes** at different returns and different time horizons — the full table, not one headline.
- **Why it accelerates** — the year-by-year mechanism, so you can see where the growth comes from.
- **What the loan costs** on the other side of the ledger, and what's left over.
- **Where this goes wrong** — the fixed deposit trap, and why five years is not the long run.

Every *input*, and where it comes from

A big number is only worth as much as the assumption behind it. So here are all of them, dated and sourced, before anything is compounded.

INPUT	VALUE USED	BASIS · SEPTEMBER 2026
Car price (on-road)	₹10,00,000	Illustrative. A mid-spec premium hatchback or compact sedan.
Down payment	₹2,00,000	20%. Most lenders fund 80–100% of on-road price.
Amount left invested	₹8,00,000	The balance — the money this whole guide is about.
Loan interest rate	9.00%	Published new-car rates run 7.45–9.00%+. SBI starts at 8.80%, Axis 8.95%, Kotak 9.00%. 9% is what a typical salaried borrower is quoted.
Tenure	60 months	5 years, the most common car loan term.
FD return	6.05%	SBI 5-to-10-year bucket, general citizens. Note this is <i>not</i> 7% — that rate is gone.
Equity return	10.57% & 12%	10.57% is the measured 20-year return of a real Nifty 50 index fund. 12% is the round number most guides assume. Both are shown throughout.

Rates: BankBazaar bank-wise car loan table, ICICI and SBI published rates (Sept 2026). FD: SBI deposit rate card, Sept 2026. Equity: UTI Nifty 50 Index Fund NAV, 3 Apr 2006 – 7 Aug 2026, computed from AMFI daily NAV.

1 How the car gets paid for

You put ₹2,00,000 down and borrow the remaining ₹8,00,000 over five years. The monthly instalment comes out of your salary, the same way rent or a phone bill does. The ₹8 lakh you would otherwise have handed to the dealer stays where it is, invested.

MONTHLY EMI ₹16,607 ₹16,606.68, from monthly income	TOTAL REPAID ₹9,96,401 over 60 instalments	TOTAL INTEREST ₹1,96,401 what the borrowing costs you
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BE HONEST WITH YOURSELF ABOUT THIS ONE THING

This works if the EMI comes out of income you would otherwise have spent — not out of money you were already investing.

If you are currently putting ₹16,607 a month into a SIP and the car loan replaces it, you have not gained anything; you have simply moved the same money. The strategy creates wealth when it converts **spending** into **investing**, which for most salaried people is exactly what it does.

What ₹8,00,000 *becomes*

One lump sum, left completely alone. No additions, no trading, no timing. Just time and a rate of return.

WHERE YOU PUT IT	5 YEARS	10 YEARS	15 YEARS	20 YEARS
Fixed deposit — 6.05%	₹10,73,108	₹14,39,450	₹19,30,857	₹25,90,022
Nifty 50 — 10.57%	₹13,22,137	₹21,85,059	₹36,11,184	₹59,68,101
Nifty 50 — 12%	₹14,09,873	₹24,84,679	₹43,78,853	₹77,17,034

10.57% is what a real Nifty 50 index fund's NAV actually delivered over 20.3 years, already net of fees and including dividends. 12% is a commonly used assumption. Neither is a guarantee — see page 8.

1 Read the table sideways, not down

Going down a column shows what your choice of instrument is worth. Going across a row shows what your **patience** is worth — and across is always the bigger number. At 12%, waiting from year five to year twenty adds ₹63 lakh. Switching from an FD to equity over those same five years adds ₹3.4 lakh. Time is doing most of the work here, and it is the one input that costs you nothing.

2 The rule of thumb worth memorising

DOUBLING TIME

At 12% a year, money doubles roughly every six years. At 6%, it takes twelve.

Divide 72 by the return to get the rough doubling period. It means ₹8 lakh at 12% is ₹16 lakh by year six, ₹32 lakh by year twelve, ₹64 lakh by year eighteen. Each double is bigger than every double before it combined — which is why the last stretch of any long investment produces more than the entire beginning.

WORTH SITTING WITH

₹8 lakh left alone for 25 years, at 12%, becomes ₹1,36,00,052.

A crore and a third, from one decision made once, by someone who then did nothing at all. That is the actual argument for investing early — not that you are clever, but that you gave the money enough time.

Where the growth *actually* comes from

Compounding gets described as magic, which helps nobody. Here is the arithmetic, year by year, so you can see exactly what is happening.

YEAR	STARTS WITH	GROWS BY	ENDS WITH
Year 1	₹8,00,000	₹96,000	₹8,96,000
Year 2	₹8,96,000	₹1,07,520	₹10,03,520
Year 3	₹10,03,520	₹1,20,422	₹11,23,942
Year 4	₹11,23,942	₹1,34,873	₹12,58,815
Year 5	₹12,58,815	₹1,51,058	₹14,09,873

At 12% a year. The rate never changes — only the amount it is applied to.

1 Same percentage, bigger rupees

Look at the middle column. Year one produces ₹96,000. Year five produces ₹1,51,058 — **57% more**, from an identical 12% return. Nothing improved. The percentage is simply being applied to a larger pile each year, because last year's growth stayed in and started earning too.

2 Splitting the ₹6,09,873

RETURNS ON YOUR ORIGINAL ₹8L

₹4,80,000

₹96,000 a year, five times over — what you'd get without compounding

RETURNS ON YOUR RETURNS

₹1,29,873

Pure compounding. Money your money made, that then made more money.

Over five years, compounding contributes about a fifth of the total. Over twenty years it contributes more than the original investment several times over — which is the entire reason the twenty-year number on page 4 looks the way it does.

Compounding is slow, then sudden. Most people give up during the slow part.

THE PRACTICAL TAKEAWAY

Every year you delay doesn't cost you one year of growth. It costs you the *last* year — the biggest one.

Starting at 30 instead of 25 doesn't remove five small years from the beginning. It removes five enormous years from the end, when the balance was at its largest. That is why "I'll start investing when I earn more" is the most expensive sentence in personal finance.

What the loan *costs*, and what's left

Borrowing is not free. Here is the full ledger, with nothing rounded away.

IF THE ₹8 LAKH EARNS...	GROWTH OVER 5 YEARS	LOAN INTEREST	LEFT OVER
FD — 6.05%	₹2,73,108	–₹1,96,401	₹76,707
Nifty 50 — 10.57%	₹5,22,137	–₹1,96,401	₹3,25,736
Nifty 50 — 12%	₹6,09,873	–₹1,96,401	₹4,13,472

Growth is on the ₹8,00,000 lump sum over five years. Loan interest is the total paid across 60 instalments of ₹16,606.68 on ₹8,00,000 at 9%. Both figures are before tax — see the note below. This assumes the EMI is paid from monthly income you would otherwise have spent, rather than from money you were already investing.

1 The spread is the whole idea

You are borrowing at 9% and earning, hopefully, 10.57% or better. That gap is where the leftover comes from. Widen the gap and the strategy works harder; close it and the strategy stops working. It really is that simple, and everything else on this page is detail.

2 Tax takes a slice

Equity held over twelve months is taxed at **12.5%** on gains above ₹1.25 lakh in a financial year. On the 12% case that is ₹60,609 of tax, leaving ₹3,52,863 after the loan interest. On the 10.57% case, ₹49,642 of tax leaves ₹2,76,094. Fixed deposit interest is worse: it is added to your income and taxed at your slab **every year**, whether you withdraw it or not.

ONE THING TO KNOW BEFORE YOU PLAN AROUND THIS

The ₹1,96,401 is certain. The growth is not.

Your instalments are contractual and arrive every month regardless of what markets do. The returns on the other side are an expectation based on history. Treat those two numbers with different levels of confidence when you plan — and never borrow on the assumption that a specific return will show up on a specific date.

The fixed deposit *trap*

If you take only one warning from this guide, take this one. The strategy collapses the moment the money goes somewhere safe.

THE ₹8 LAKH IN AN FD AT 6.05%	AMOUNT
Growth over 5 years, before tax	₹2,73,108
Tax on that interest, at the 30% slab	-₹88,739
Growth you actually keep	₹1,84,369
Loan interest you paid	-₹1,96,401
Net result	-₹12,032

FD interest is added to your income and taxed at your slab rate annually, whether or not you withdraw it. At 30%, an FD paying 6.05% effectively pays 4.23%.

1 You cannot borrow at 9% and lend at 6%

It sounds obvious written down, and yet this is the version of the strategy most people actually attempt, because equity feels risky and an FD feels responsible. But there is no arrangement of these numbers in which paying 9% to earn 4.23% produces money. After tax, you end up slightly **behind** where you started — having taken on ₹8 lakh of debt for the privilege.

THE RULE

This entire strategy depends on earning more than the loan costs. Below that line it isn't a strategy, it's an expensive habit.

A savings account at 3% is worse still. A recurring deposit, a traditional insurance policy, or money simply left idle in the account — all of these turn the plan into a slow loss. If the ₹8 lakh is not going into equity and staying there, paying cash for the car is the better decision.

2 When keeping it in an FD is still reasonable

If that ₹8 lakh is money you genuinely cannot afford to risk — an emergency fund, a house down payment due next year, a family medical buffer — then keeping it liquid and safe and taking the loan anyway is a perfectly sensible choice. You are not investing. You are **paying about ₹2,400 a year for liquidity**, which is a reasonable thing to buy. Just be clear with yourself that this is what you are doing.

Five years is not the *long run*

Every number in this guide assumes a steady annual return. Markets do not work like that, and pretending otherwise is how people get hurt.

1 Where 10.57% comes from

That figure is not a forecast. It is the measured return of an actual Nifty 50 index fund's NAV over 20.3 years, from April 2006 to August 2026 — already net of fees and including dividends, so it is what a real investor genuinely received. The commonly quoted 12% is a rounder, more optimistic number. Both appear throughout this guide so you can see how much the assumption changes the answer.

2 The road to that average was not smooth

CALENDAR YEAR 2008

−51.8%

The index halved. Anyone who sold here locked in the loss permanently.

CALENDAR YEAR 2009

+75.8%

The recovery, arriving the very next year — and only for those still invested.

A twenty-year average tells you remarkably little about any particular five years inside it. Five-year stretches beginning in 2007 or 2017 delivered far less than 10%. Ones beginning in 2003 or 2020 delivered far more. **Your five years will be one of those, and you don't get to choose which.**

WHAT THIS MEANS IN PRACTICE

The longer your money stays invested, the more the average becomes something you can actually rely on.

Over twenty years the bad stretches and good stretches have room to even out. Over five they may not. This is the real reason the twenty-year column on page 4 deserves more of your attention than the five-year one — not just because the number is bigger, but because it is more dependable.

3 Three conditions before you do this

- **A separate emergency fund.** Six months of expenses in cash, not counted inside the ₹8 lakh. If your investment is also your safety net, you will be forced to sell at the worst moment.
- **Stable income for sixty months.** The instalment does not pause for a layoff or a pay cut. Equity returns are optional; the EMI is not.
- **The temperament to sit through a fall.** If a 30% drawdown in year three would make you panic-sell to clear the loan, the whole advantage disappears — and reverses.

Meanwhile, the car is *losing* money

While your ₹8 lakh compounds upward, the thing you bought compounds downward. Both are happening at once, and only one of them gets talked about.

COST	OVER 5 YEARS	HOW IT'S WORKED OUT
Depreciation	₹5,80,000	The regulator's insurance depreciation slab puts a 5-year-old car at 50% of its original value. Actual resale for a mainstream petrol car typically lands at 40–45% — ₹4.2L assumed here.
Fuel	₹5,43,150	15,000 km a year at 15 km/l = 1,000 litres, at ₹108.63 in Coimbatore on 21 Sept 2026.
Maintenance	₹1,10,000	₹22,000 a year, including brake pads, battery and tyres — not just scheduled service.
Insurance	₹96,000	Comprehensive cover starting near ₹28,000 and falling each year as value drops and no-claim bonus builds.
Five-year total	₹13,29,150	On a car that cost ₹10,00,000, before a rupee of loan interest.

Depreciation: IRDAI motor IDV slab table. Maintenance: segment-wise annual cost survey, 2026. Insurance: comprehensive range of ₹20,000–₹40,000 for a ₹10 lakh car, declining with IDV. Fuel: Goodreturns Coimbatore petrol price, 21 Sept 2026.

1 Two curves, opposite directions

YOUR ₹8 LAKH, INVESTED ₹14,09,873 grew by ₹6,09,873 over five years	YOUR ₹10 LAKH CAR ₹4,20,000 what it's worth when you sell it
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THE LEVER NOBODY PULLS

Buying a ₹7 lakh car instead of a ₹10 lakh one frees up ₹3 lakh — which becomes ₹5,28,703 over the same five years.

Lower depreciation, cheaper insurance, cheaper servicing, usually better mileage — and ₹3 lakh more compounding on your side of the ledger. That single choice is worth more than any financing strategy, takes no market risk, and requires no debt. It is also the one nobody makes a reel about.

Every term, *decoded*

No finance guide should assume you already know the vocabulary. Here is all of it.

Compounding

Earning returns on your returns. Year one's growth stays invested and starts earning too, so each year produces more than the last from the same rate.

Lump sum

Investing the whole amount in one go, so every rupee gets the full run of time to compound. The opposite of a monthly SIP.

CAGR

Compound Annual Growth Rate. The single smoothed yearly rate that would take you from the starting value to the ending one. It hides every bump along the way.

Rule of 72

Divide 72 by your return to get the rough number of years your money takes to double. At 12%, about six years.

EMI

Equated Monthly Instalment. The same fixed amount every month for the whole loan, part interest and part principal. Early instalments are mostly interest.

Principal

The amount you actually borrowed — ₹8,00,000 here. Interest is what you pay on top for the use of it.

Tenure

How long the loan runs. A longer tenure means a smaller EMI but a larger total interest bill. It is a comfort-versus-cost dial.

Nifty 50

An index tracking India's 50 largest listed companies. An index fund simply buys all of them in proportion, for a very low fee, with no fund manager picking stocks.

NAV

Net Asset Value — the per-unit price of a mutual fund. Fund NAV already has fees removed and dividends added back, which makes it the honest measure of what investors received.

Index fund

A fund that copies an index rather than trying to beat it. Cheap, boring, and the vehicle every number in this guide assumes.

LTCG

Long Term Capital Gains tax. On equity held over 12 months: 12.5% on gains above ₹1.25 lakh in a financial year.

Slab rate

Your personal income tax bracket. FD interest is added to your income and taxed at this rate — up to 30% — every year, even if you never withdraw it.

Drawdown

How far an investment falls from its peak before recovering. The Nifty's worst was a 51.8% fall during 2008, recovered the following year.

Depreciation

The value a car quietly loses just by existing. It is the single largest cost of owning one, and stays invisible until you try to sell.

IDV

Insured Declared Value — what your insurer pays if the car is written off. It falls every year on a fixed schedule set by the regulator.

Sources and *disclaimer*

Every figure in this guide, where it came from, and as of when.

FIGURE	VALUE	SOURCE & DATE
Nifty 50 real return	10.57%	UTI Nifty 50 Index Fund NAV, 3 Apr 2006 – 7 Aug 2026 (20.34 yrs), from AMFI daily NAV — net of fees, dividends included. Price index alone 10.09%. Calendar 2008: -51.8%, 2009: +75.8%
Car loan rates	7.45–9.00%	BankBazaar bank-wise new car table; ICICI 8.35%, SBI 8.80%, Axis 8.95%, Kotak 9.00% — Sept 2026
EMI & interest	₹16,606.68	Standard amortisation formula, computed — not an estimate
SBI 5-year FD	6.05%	SBI published deposit rate card, general citizens, 5–10 year bucket — Sept 2026
Equity LTCG	12.5%	Above ₹1.25L a year, holding over 12 months; effective 23 July 2024, unchanged FY 2026–27
Petrol, Coimbatore	₹108.63	Goodreturns pump price — 21 Sept 2026
Depreciation slab	50%	IRDAI motor IDV depreciation table, 4–5 year band
Insurance & upkeep	₹20k–40k/yr	Comprehensive cover for a ₹10L car, declining with IDV and NCB. Maintenance ₹16k–28k/yr, segment survey 2026

DISCLAIMER

This guide is educational material, not investment advice. I am not a SEBI-registered investment adviser. The interest rates, deposit rates, fuel prices and tax rules quoted here are accurate as of **21 September 2026** and will change. The 10.57% figure is a measured historical return, not a prediction — any specific five-year period can deliver considerably more or considerably less, and equity investments can fall in value. The scenario is illustrative; your own loan rate, tax slab and running costs will differ, and small changes move the answer meaningfully. Do your own calculation, and speak to a qualified, registered adviser before acting on anything here.

Money you don't spend
doesn't just sit there.

It compounds. Quietly, slowly, and then all at once. Free to share — send it to whoever is about to buy a car.

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